

The Four Numbers

Run these before you get excited about any property. Twenty minutes. Each one can end the analysis.



PROPERTY	ASKING PRICE	DOWN PAYMENT %

1 WHAT IT ACTUALLY COSTS TO OWN

Principal & interest	\$
Property taxes — verify; not what the seller pays	\$
Insurance — ask about renting part of it	\$
Mortgage insurance — if applicable	\$
HOA	\$
Utilities you'll cover	\$
Maintenance reserve	\$
TOTAL COST TO OWN	\$

If this matches what the mortgage calculator told you, **you left something out.**

2 REALISTIC RENTAL INCOME

First, define the product

- | | |
|---|--|
| ☐ Private entrance / Shared entrance | ☐ Utilities included / Separate |
| ☐ Private bath / Shared bath | ☐ Long-term / Mid-term / Short-term |
| ☐ Private kitchen / Kitchenette / Shared | |
| ☐ Furnished / Unfurnished | |

Then pull five comps that match

Zillow · Facebook Marketplace · SpareRoom · Furnished Finder · Airbnb *filtered to monthly* · VRBO

Use the monthly rate on nightly platforms — never the nightly price × 30.

#	SOURCE	WHAT IT IS	RENT	RENTED FAST?
1				\$
2				\$
3				\$

4	\$
5	\$

Drop the highest and lowest. Middle number: _____

Adjust up if:

private entrance · private bath · in-unit laundry · dedicated parking · extra storage · furnished

Adjust down if:

shared bath · poor light · no parking · awkward access · small or odd shape

Adjusted rent per space \$

× number of spaces

Less vacancy allowance (____ %) \$

REALISTIC MONTHLY INCOME \$

You will never regret underwriting a deal on a number you comfortably beat.

3 YOUR EFFECTIVE HOUSING COST

Number 1 — cost to own \$

Less Number 2 — realistic income \$

EFFECTIVE HOUSING COST \$

What would you otherwise pay in rent? \$

THE GAP ← this is your savings rate \$

☐ **Beats my alternative** → keep going

☐ **Doesn't** → stop here

Zero was never the benchmark. Paying less than market rent while building equity is a win, even if the number isn't zero.

4 WHAT IT LOOKS LIKE WHEN YOU MOVE OUT

Rent for the space you're living in \$

Total rent — whole property \$

Less total cost to own (Number 1) \$

COVERS ITSELF? \$

☐ **Yes** → this is a house hack *and* a future rental

☐ **No** → it works while you live there. That can be fine — just know it going in.

THE DECISION

- ☐ All four work → worth a walkthrough
- ☐ Number 1 was higher than expected → recheck, then likely pass
- ☐ Number 2 was lower than hoped → recheck comps, then likely pass
- ☐ Number 3 doesn't beat renting → pass
- ☐ Number 4 doesn't work and I'm not okay with that → pass

MY ASSUMPTIONS — WRITE THESE DOWN

Rent assumption came from

Vacancy % used

Maintenance reserve %

Anything I'm unsure about

Six months from now you'll want to know whether you were consistent — or whether you talked yourself into a better number the second time.

Practice habit: run this on one listing a week that you have no intention of buying. After ten or fifteen, you'll see the answer before you finish — and stop wasting time on properties that were never going to work.

Every door is an opportunity.

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